profitable to look for good businesses at reasonable prices than difficult businesses at cheaper prices. “Charlie and I have not learned how to solve difficult business problems,” Buffett admits. “What we have learned to do is to avoid them. To the extent that we have been successful, it is because we concentrated on identifying one-foot hurdles that we could step over rather than because we acquired any ability to clear seven-footers.”[5]

Favorable Long-Term Prospects

Buffett divides the economic world into two unequal parts: a small group of great businesses, which he terms franchises, and a much larger group of bad businesses, of which most are not worth purchasing. He defines a franchise as a company providing a product or service that is (1) needed or desired, (2) has no close substitute, and (3) is not regulated. These traits allow the company to hold its prices, and occasionally raise them, without the fear of losing market share or unit volume. This pricing flexibility is one of the defining characteristics of a great business; it allows the company to earn above-average returns on capital.

“We like stocks that generate high returns on invested capital,” says Buffett, “where there is a strong likelihood that [they] will continue to do so.”[6] He added, “I look at the long-term competitive advantage, and [whether] that’s something that is enduring.”[7]

Individually and collectively, these great businesses create what Buffett calls a *moat*—something that gives the company a clear advantage over others and protects it against incursion from competition. The bigger the moat, and the more sustainable, the better he likes it. “The key to investing,” he explains, “is determining the competitive advantage of any given company and, above all, the durability of the advantage. The products or services that have wide, sustainable moats around them are the ones that deliver rewards to investors. The most important thing for me is figuring out how big a moat there is around the business. What I love, of course, is a big castle and a big moat with piranhas and crocodiles.”[8]

Last, Buffett tells us, in one of his many succinct bits of wisdom, “the definition of a great company is one that will be great for 25 to 30 years.”[9]